

Bessent's tools unlikely to tame yields

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【メール原文】

Treasury Secretary Scott Bessent's norm-breaking measures are unlikely to halt the rise in bond yields. In a sharp reversal, South Korea is betting a |||||

Daily Brief

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summary

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Treasury Secretary Scott Bessent's norm-breaking measures are unlikely to halt the rise in bond yields.

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In a sharp reversal, South Korea is betting a \$200 billion US investment pledge on energy and nuclear projects will ease pressure from Washington.

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Amid Iran war disruptions, tight diesel markets and soaring tanker costs will drive up global costs for food and other goods.

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Hong Kong Chief Executive John Lee's first Five-Year Plan is a political alignment exercise with Beijing, as mainland integration accelerates.

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Countries and sectors in this edition of the Daily Brief include the US, China, Hong Kong, Japan, South Korea, Taiwan, Turkey, energy, and geoeconomics.

the top line

Japan, US, Geoeconomics—Yen and Treasuries market turmoil and the global geoeconomic outlook

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In an EG conference call, analysts discussed how US and Japanese efforts to strengthen the yen have produced only short-lived appreciation, amid limited US financial commitment, conflicting US objectives, and measures that fail to address trade and financial flows.

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Treasury Secretary Scott Bessent's norm-breaking measures have not prevented 10-year yields from rising more than 30 basis points since late July. The tools that would work—especially fiscal consolidation—are politically blocked, and his shift in messaging suggests he is leaning toward backing down rather than escalating.

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EG has cut the odds of its steady-growth basecase to 45% from 55% and raised the probability of both the sub-trend and stronger-growth scenarios. The US-Iran standoff will likely run through year-end (60%), keeping energy prices high into the winter, while the midterms are unlikely to be a significant driver of market outcomes.

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Read more here . Reach out to discuss: geoeconomics@eurasiagroup.net .

South Korea, US, Energy—Seoul will go big on US investments to placate Washington

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In a sharp reversal of its previously cautious approach, Korea will likely announce \$200 billion in investments in the US this week, centering on gas turbines in Texas, eight large-scale nuclear reactors, and an LNG pipeline project in Alaska.

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President Lee Jae-myung is hoping that a massive investment commitment will reduce pressure on South Korea to support US operations in the Strait of Hormuz and secure him a meeting with President Donald Trump at the opening of the UN General Assembly (UNGA).

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Korean companies see an opportunity to partner with Westinghouse in building nuclear reactors in the US, pending finalization of political and regulatory conditions, while Seoul will seek to limit its involvement in the riskier LNG pipeline project in Alaska.

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Read more here . Reach out to discuss: korea@eurasiagroup.net .

Energy, MENA Crisis—Chart of the Day

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The crack spread—the gap between diesel and crude prices—is a proxy for refining margins. It is at a record high showing that refining capacity is the binding constraint and the biggest driver of high petroleum products prices: Ukrainian strikes on Russian refineries, Moscow's diesel export ban, and damaged Gulf plants have left the market short of diesel, with US inventories near historic lows.

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Tanker rates have also spiked to historically high levels, as Iranian and Houthi attacks on shipping keep vessels away and lengthen routes. Both factors feed into freight, food, and goods prices.

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Reach out to discuss: geoeconomics@eurasiagroup.net .

Hong Kong, China—Five-Year Plan aligns development with mainland policy goals

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Hong Kong Chief Executive John Lee's first Five-Year Plan is a political alignment exercise—synchronizing the city's policymaking cycle with Beijing's national framework. Hong Kong lacks the regulatory tools and administrative culture for mainland-style industrial policy and will retain its market-based economic model.

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The plan adds little that's new: most projects were already in existing blueprints; only five of 22 indicators are binding, with the rest nonbinding or "aspirational," suggesting caution. Financial measures including offshore yuan, digital asset trading, and cross-border investment schemes have been priorities for a decade.

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Integration with the mainland will accelerate, with political momentum reflected in language mirroring Beijing's emphasis on "one country" over "two systems." The Northern Metropolis, a \$30–\$50 billion project along the Shenzhen border, faces budget and timetable pressures ahead of President Xi Jinping's likely 2027 visit for the 30th handover anniversary.

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Read more here . Reach out to discuss: china@eurasiagroup.net .

Turkey, Geoeconomics—Turkey's equity rout tests Ankara's lira savings strategy

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Turkey's benchmark stock index, the BIST 100, arrested its fall today after authorities announced new measures to stem the recent market turmoil. The sell-off was triggered after index provider MSCI's warnings of concentrated fund ownership, prompting regulators to force an unwind that hit Pusula Portfoy, Turkey's largest fund manager.

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The selloff exposed a self-reinforcing cycle that started to run in reverse: inflows had been directed into illiquid stocks linked to the funds themselves, inflating prices and attracting further investment. Falling prices triggered redemptions, forcing funds to sell liquid holdings and spreading pressure across the market.

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The turmoil gives Finance Minister Mehmet Simsek's critics fresh ammunition, but his departure remains unlikely. The greater risk is that political pressure constrains his room to maneuver and eventually prompts him to leave. With few credible replacements, the resulting erosion of confidence in the economic program could accelerate savings migration away from the lira.

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Read more here . Reach out to discuss: mena@eurasiagroup.net .

upcoming conference calls

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17 September 11:00 AM ET—2026 Israel election update. Register here .

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18 September 8:00 AM ET—Brazil's VAT reform: what changes in 2027—A chat with Joao Nobre, Senior Advisor to the Minister of Finance. Register here .

eg in depth

Taiwan, China—Taiwan elections and risk outlook: Taiwan, China—Taiwan elections and risk outlook: In an EG conference call, analysts discussed how the incumbent Democratic Progressive Party is likely to flip some localities in Taiwan's November 2026 local elections, but the Kuomintang will retain a majority

of city mayorships. Results will shape the starting positions for the 2028 national race. Eurasia Group puts the five-year invasion risk at 10% starting in 2029, up from 5%. The bigger near-term risk is a quarantine, which rises to 30% starting in 2029, driven by the combination of Lai's likely reelection in 2028 and a post-Trump US administration returning to more visible Taiwan support. Beijing's preferred path to unification is coercion short of invasion. A Kuomintang presidency would reduce non-invasion crisis odds but would not fundamentally alter the long-run trajectory. Read more here . Reach out to discuss: taiwan@eurasiagroup.net .

Upcoming events:

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18 September: Events: NATO Military Committee Conference begins in Copenhagen, through 19 September; Data: Japan CPI, and US IP; Central bank decision: Japan.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, Blaise Hanson, and Trista Kelley.

closing quip

"I told Kevin, I said, you might as well vote with the board because it's just not going to matter. The board is very hostile." —Trump told reporters on 16 September, deflecting blame from Federal Reserve Chair Kevin Warsh after Trump hit out at the Fed for raising borrowing costs for the first time since 2023.

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